ISSUER REVIEW · 6M2026

# Hepsor

WATCH

Estonia · Residential and commercial real estate developer (Estonia, Latvia)

Watch. Hepsor posted a EUR 2.2m loss in 1H because few homes were handed over (23 vs 102)[1]. The equity ratio fell to 23.1%, while the bond covenant requires at least 20%[2,3]. Sales contracts are rising (129 homes, +36%, own calculation), and revenue should follow as projects complete[4].

| REVENUE · 6M2026 | NET PROFIT · 6M2026 |
|---|---|
| 6.2 EUR m | -2.21 EUR m |
| ▼ 71.9 % vs 6M2025 | ▼ 889.3 % vs 6M2025 |
| **EQUITY RATIO · 6M2026** | **NET DEBT · 6M2026** |
| 23.1 % | 56.2 EUR m |
| ▼ 3.7 p. p. vs 6M2025 | ▲ 38.4 % vs 6M2025 |

## Quick summary

- **Loss due to the cycle:** 1H revenue EUR 6.2m (22.1m), EBITDA EUR -0.9m, net loss EUR 2.2m (profit 0.3m); revenue is recognised only on handover[5].
- **Sales rising:** 129 first-time home sales contracts for EUR 25.7m (95 and 18.5m a year earlier); 513 homes under construction[4,6].
- **Debt rising:** interest-bearing loans EUR 58.7m (47.7m at end-2025); net debt about EUR 56.2m (own calculation); cash EUR 2.5m[7].
- **New bonds:** EUR 5m of 9.5% bonds (2029) issued in September 2026, 2.4x oversubscribed[3].

## Key facts

ISSUER RATING
nerasta (no credit rating found)

ANALYSIS DATE
2026-10-22

NEXT REPORT
Q3 2026 interim report - expected late October / November 2026

COUNTRY
Estonia

## Securities held

**Hepsor AS ordinary share (HPR1T)**
EE3100082306 · share

## 01 Instruments held and ISINs

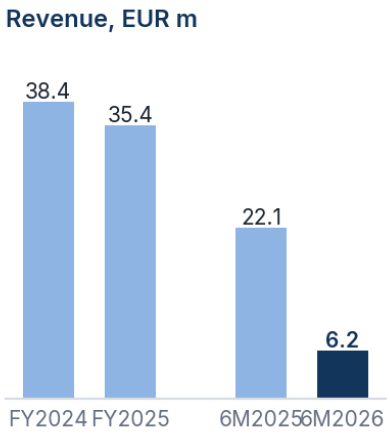
| ISIN | INSTRUMENT | COUPON | MATURITY | ISSUE RATING | NOTE |
|---|---|---|---|---|---|
| EE3100082306 | Hepsor AS ordinary share (HPR1T) | – | share | | Added from the ISIN list 2026-10-22; terms from the Nasdaq Baltic list |

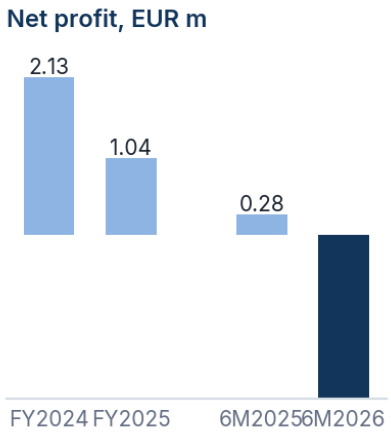
## 02 Key ratios

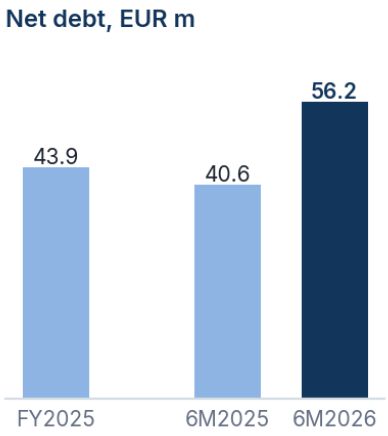
| METRIC | FY2024 | FY2025 | 6M2025 | 6M2026 | CHANGE |
|---|---|---|---|---|---|
| Revenue, EUR m[8,2] | 38.4* | 35.4* | 22.1* | 6.2* | ▼ 71.9 % vs 6M2025 |
| EBITDA, EUR m[8,2] | 4.54* | 3.46* | 1.46* | -0.92* | ▼ 163.0 % vs 6M2025 |
| Net profit, EUR m[8,2] | 2.13* | 1.04* | 0.28* | -2.21* | ▼ 2.49 EURm vs 6M2025 |
| Total assets, EUR m[8,2] | 88.8* | 91.8* | 76.7* | 103.7* | ▲ 35.2 % vs 6M2025 |
| Equity, EUR m[2] | – | 27.1* | 20.6* | 23.9* | ▲ 16.0 % vs 6M2025 |
| Equity ratio[8,2] | 24.8%* | 29.5%* | 26.8%* | 23.1%* | ▼ 3.7 p. p. vs 6M2025 |
| Net debt, EUR m[9] | – | 43.9ᶜ | 40.6ᶜ | 56.2ᶜ | ▲ 38.4 % vs 6M2025 |

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (internal benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – own calculation. Small numbers next to text link to the source (opens the document at the cited page).




## 03 Business performance review

- **Residential and commercial developer in Estonia and Latvia:** 29 projects, about 195,000 sq m of sellable area, sales potential EUR 542m[10].
- **Next completions:** Manufaktuuri 12 in Tallinn (49 homes, handovers from Q3, 27 sold), Dzelzavas 74C in Riga (103 homes, Q4, 42 sold)[11].

## 04 Financials

- FY2025 revenue EUR 35.4m (38.4m), profit EUR 1.0m (2.1m), equity ratio 29.5% (24.8%)[8].
- Adjusted equity ratio (with subordinated shareholder loans) 37.9%; EUR 1.06m of dividends paid in 1H[12].

## 05 Past plans vs outcomes

| PLAN / TARGET | OUTCOME | WHAT CHANGED AND WHY | STATUS |
|---|---|---|---|
| Start handing over Manufaktuuri 12 homes from Q3 2026 | Awaiting the Q3 report[11] | Per plan[11]. | **In progress** |
| Launch another 119 homes by year-end | New plan[6] | New[6]. | **In progress** |

## 06 Investor information & conclusions

- **Instrument held:** Hepsor AS share (HPR1T, Nasdaq Tallinn); 3,912,522 shares[13]. Market price and dividend policy not found.
- **Debt covenants:** the bonds (EUR 8m 2028 and EUR 5m 2029, both 9.5%) require an equity ratio ≥20% – currently 23.1%[14,3,2].
- **Conclusion:** elevated risk for shareholders – a loss-making half and a thin capital buffer; results should improve as homes are handed over.

## 07 Market and environment

- **Few completed units to sell:** H1 revenue EUR 6.2m (22.1m) due to a small carry-over of completed unsold apartments – 23 homes handed over (102)[4]; gross margin 6.7% (13.0%), net loss EUR 2.2m[15].
- **Market:** rising construction costs and dearer borrowing with flat rents hurt commercial projects; housing demand is growing strongly, so the Veidema quarter in Riga is being switched to residential[11].
- **Outlook:** 513 homes under construction (255 a year earlier), a basis for future revenue; first-time sales of 129 homes for EUR 25.7m[4].

| | NOW | 3 MONTHS AGO | 12 MONTHS AGO | 12-MONTH CHANGE |
|---|---|---|---|---|
| ECB deposit facility rate | 2.50% (2026-09) | 2.25% | – | – |
| 3-month Euribor | 2.64% (2026-09) | 2.34% | 2.03% | ▲ 0.61 p. p. |
| 6-month Euribor | 2.92% (2026-09) | 2.60% | 2.10% | ▲ 0.82 p. p. |
| 12-month Euribor | 3.25% (2026-09) | 2.80% | 2.17% | ▲ 1.08 p. p. |
| Euro area AAA government 10-year yield | 3.37% (2026-10) | 3.23% | 2.72% | ▲ 0.65 p. p. |
| Euro area inflation (HICP, annual) | 1.90% (2025-12) | 2.20% | 2.40% | ▼ 0.50 p. p. |

Euro area rates and inflation (ECB data, end-of-month value; Euribor and inflation – monthly average). Relevant for floating-rate and reset bonds and refinancing costs.

## 08 In the press

Automatic news scan (Google News, EE), 2026-08-02 – 2026-10-31: 3 articles.

| | | |
|---|---|---|
| 2026-10-28 | ATTENTION | Hepsori juht: lõpetame aasta kahjumis Ehitusuudised |
| 2026-10-28 | RESULTS | Hepsor AS 2026 III kvartali ja 9 kuu konsolideeritud auditeerimata vahearuanne GlobeNewswire |
| 2026-10-28 | OTHER | Hepsori müük kolmandas kvartalis kukkus ja võlakoorem kasvas Äripäev |

## 09 ESG report

### EXCLUSIONARY SCREENING (COMPANIES)

✓ **Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel**
- Real estate development
- No activity in excluded sectors[16].

✓ **Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards**
- No UN Global Compact or OECD related controversies found.

✓ **Yes, the company is not in the list of sanctions (add a screenshot)**
- Not found on the EU, UN, US OFAC consolidated sanctions lists (automatic check 2026-10-31).

**Manual check**
- OFAC sanctions search[17]
- EU Sanctions Map[18]
- SEB eNameChecker (internal SEB system).

✓ **Yes, issues were not identified from adverse media checks (add a screenshot)**
- No adverse news found (2026-10-22).
- News summary 2026-08-02 – 2026-10-31: 3 articles, 1 with an adverse keyword in the headline (details in the section "In the press").
- Headlines with an adverse keyword: „Hepsori juht: lõpetame aasta kahjumis“ (Ehitusuudised, 2026-10-28).

*In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.*

**Additional comments:**

### ESG INTEGRATION AND POSITIVE SCREENING (POSITIVE ANSWERS IMPLY HIGHER ALLOCATION)

✓ **Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)**
- The company says it uses innovative engineering solutions that make its buildings more energy-efficient[16].

– **Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)**
- No climate targets or sustainability report found.

✓ **Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards**
- No yellow flags found.

✓ **Yes, the company fulfills the expectations from SEB thematic and sector policies**

**Applicable**
- The Real Estate and Construction policy[19].

**Met**
- Energy-efficient new buildings in the EU[16].

**Could be improved**
- No sustainability report or transition plan found.

**Additional comments:**

### ENGAGEMENT

– **Is there a need for pro-active engagement with the company?**
- No need: a small developer with no ESG risks found.

**Additional comments:**

### INDICATORS

✓ **Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund**
- New buildings are built energy-efficient[16].

**Additional comments:**

**Conclusion:** No exclusions or red flags. No sustainability report.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Real Estate and Construction sector policy; Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

## 10 Sources


1. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 20, 2026-07-28
2. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 2026-07-28
3. Hepsor - Bonds 2026 (Series II), 2026-09-07
4. Hepsor - Consolidated unaudited interim report Q2 2026, p. 6, 2026-07-28
5. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 20, 2026-07-28
6. Hepsor - News: record construction volumes and 9.5% bonds, 2026-08-24
7. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 23, 2026-07-28
8. Hepsor - Key financials (investor web page), 2026-10-22
9. Hepsor - Consolidated unaudited interim report Q2 2026, p. 29, 2026-07-28
10. Hepsor - Consolidated unaudited interim report Q2 2026, p. 8, 13, 2026-07-28
11. Hepsor - Consolidated unaudited interim report Q2 2026, p. 7, 2026-07-28
12. Hepsor - Consolidated unaudited interim report Q2 2026, p. 20, 22, 2026-07-28
13. Hepsor - Consolidated unaudited interim report Q2 2026, p. 26, 2026-07-28
14. Hepsor - 9.5% bond 2025-2028, 2026-10-22
15. Hepsor - Consolidated unaudited interim report Q2 2026, p. 21, 22, 2026-07-28
16. Hepsor - Consolidated unaudited interim report Q2 2026, p. 4, 2026-07-28
17. OFAC Sanctions List Search (US Treasury)
18. EU Sanctions Map
19. SEB Real Estate and Construction sector policy (2026-04-23), p. 6-10, 2026-04-23


Report prepared from public sources. Figures are as published by the issuer; small numbers next to the text point to the source list.